



FEDERAL RETIREMENT THRIFT INVESTMENT BOARD
77 K Street NE, Washington, DC 20002

MEMORANDUM FOR BOARD MEMBERS

GERBER, BILYEU, BRIDGES,
AND OLIVARES

FROM: Sean McCaffrey, Chief Investment Officer

DATE: July 22, 2025

SUBJECT: June 2025 Investment Program Review

INTRODUCTION

This report reviews key aspects of the TSP's investment program, including performance, benchmark differences, interfund transfer activity, and participant allocations.

RETURNS AND BENCHMARK DIFFERENCES

The tables below contain the monthly and year-to-date (YTD) returns and benchmark differences for the F, C, S, and I Funds and for the separate accounts managed by BlackRock and State Street. Due to rounding, the benchmark differences may not match the differences in displayed returns.

June 2025 Returns and Benchmark Differences

		<u>Fixed Income</u>	<u>Large Cap</u>	<u>Small Mid Cap</u>	<u>International</u>
		<u>(F Fund)</u>	<u>(C Fund)</u>	<u>(S Fund)</u>	<u>(I Fund)</u>
Return	Index	1.54%	5.09%	5.40%	3.53%
	BlackRock	1.54%	5.08%	5.40%	3.77%
	State Street	1.55%	5.08%	5.42%	3.59%
	TSP Fund (Net)	1.54%	5.08%	5.40%	3.73%
Benchmark Difference	BlackRock	0.00%	0.00%	0.00%	0.24%
	State Street	0.01%	0.00%	0.02%	0.06%
	TSP Fund	0.00%	0.00%	0.01%	0.20%

BlackRock's performance for the F, C, and S Funds was in line with the Funds' respective indices for the month. Its performance for the I Fund was ahead of the International Index by 24 basis points, primarily due to fair value pricing.

State Street's performance for the F, C, and S Funds was in line with the Funds' respective indices for the month. Its performance for the I Fund was ahead of the International Index by 6 basis points, primarily due to fair value pricing.

2025 YTD Returns and Benchmark Differences

		<u>Fixed Income</u>	<u>Large Cap</u>	<u>Small Mid Cap</u>	<u>International</u>
		<u>(F Fund)</u>	<u>(C Fund)</u>	<u>(S Fund)</u>	<u>(I Fund)</u>
Return	Index	4.02%	6.20%	2.12%	17.88%
	BlackRock	4.03%	6.20%	2.11%	18.78%
	State Street	4.05%	6.20%	2.18%	18.39%
	TSP Fund (Net)	4.02%	6.18%	2.11%	18.69%
Benchmark Difference	BlackRock	0.01%	0.00%	-0.01%	0.90%
	State Street	0.03%	0.00%	0.05%	0.51%
	TSP Fund	-0.01%	-0.02%	-0.01%	0.80%

Year-to-date, BlackRock's performance for the F, C, and S Funds was in line with the Funds' respective indices. Its performance for the I Fund was ahead of the International Index by 90 basis points, primarily due to fair value pricing.

Year-to-date, State Street's performance for the F Fund was ahead of the Fixed Income Index's return by 3 basis points, primarily due to interest earned on cash in the Fund. Its performance for the C Fund was in line with the Large Cap Index. For the S Fund, State Street was ahead of the Small Mid Cap Index by 5 basis points, primarily due to securities sampling and securities lending. For the I Fund, State Street was ahead of the International Index by 51 basis points, primarily due to tax advantage and fair value pricing.

TSP Net Returns as of June 30, 2025

	1-Year	3-Year	5-Year	10-Year
G Fund	4.42%	4.23%	3.11%	2.65%

	1-Year	3-Year	5-Year	10-Year
F Fund	6.07%	2.56%	-0.64%	1.88%
Bloomberg US Agg Bond Index	6.08%	2.55%	-0.73%	1.76%
Benchmark Difference	-0.01%	0.01%	0.09%	0.13%

	1-Year	3-Year	5-Year	10-Year
C Fund	15.11%	19.66%	16.61%	13.62%
S&P 500 Index	15.16%	19.71%	16.64%	13.65%
Benchmark Difference	-0.06%	-0.05%	-0.03%	-0.02%

	1-Year	3-Year	5-Year	10-Year
S Fund	15.61%	15.24%	11.68%	9.22%
Dow Jones US Completion TSM Index	15.57%	15.08%	11.51%	9.02%
Benchmark Difference	0.04%	0.17%	0.17%	0.20%

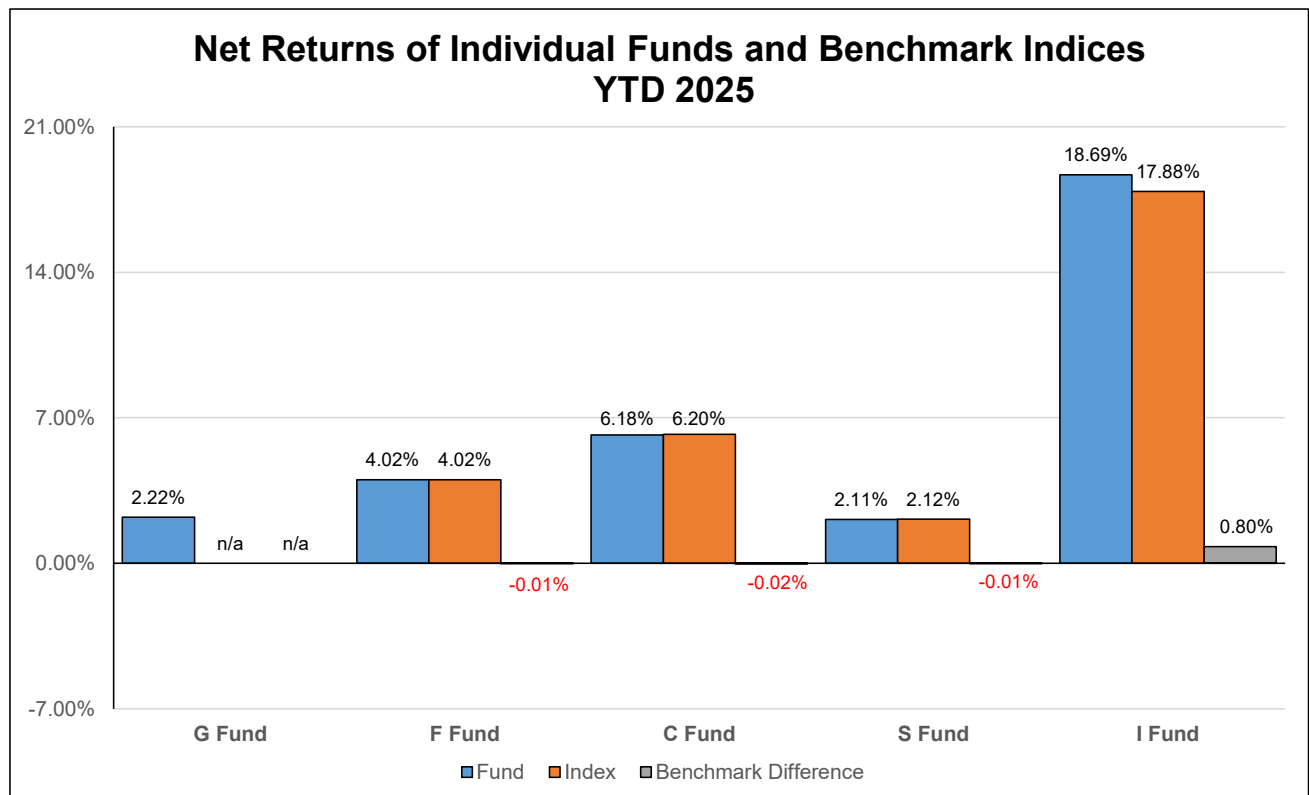
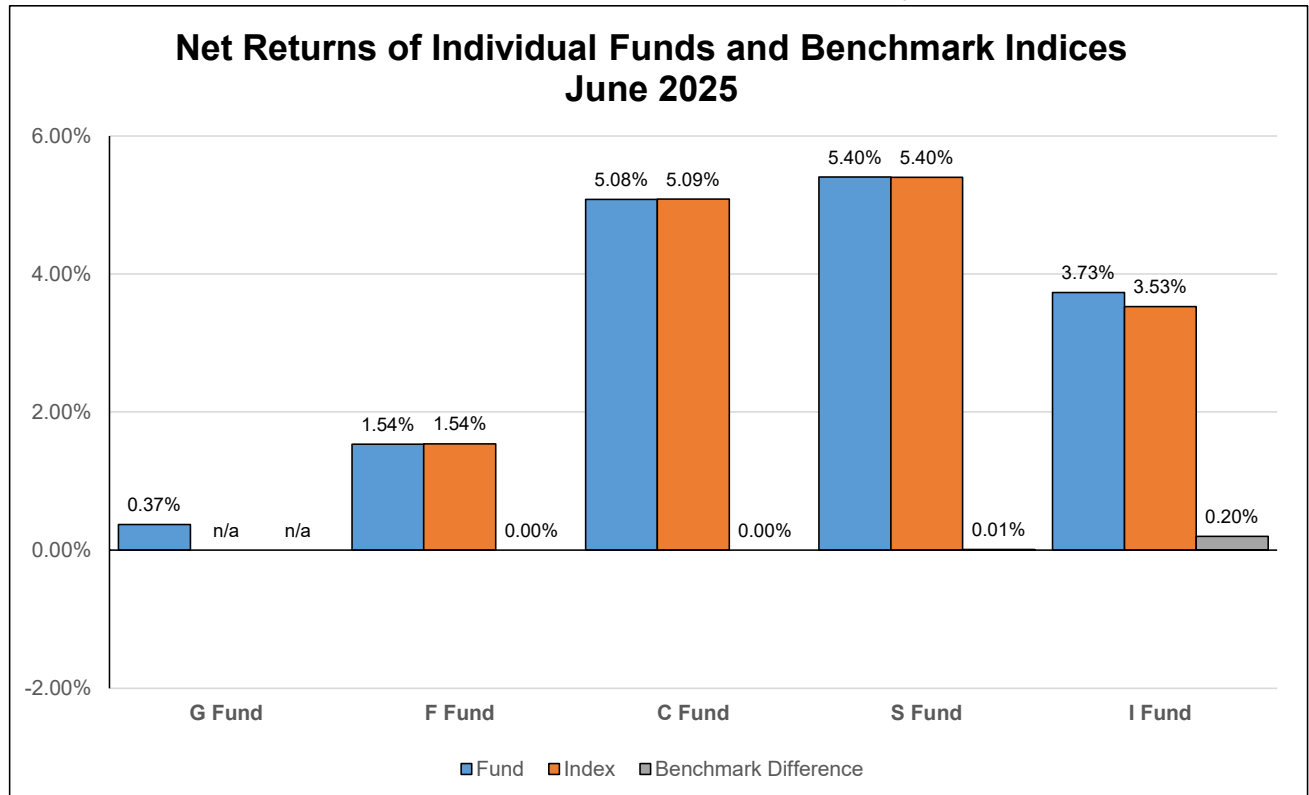
	1-Year	3-Year	5-Year	10-Year
I Fund	16.91%	15.86%	11.32%	6.78%
International Index*	16.60%	15.60%	10.95%	6.41%
Benchmark Difference	0.31%	0.27%	0.37%	0.37%

* MSCI EAFE through July 31, 2024; MSCI ACWI IMI ex USA ex China ex Hong Kong thereafter.

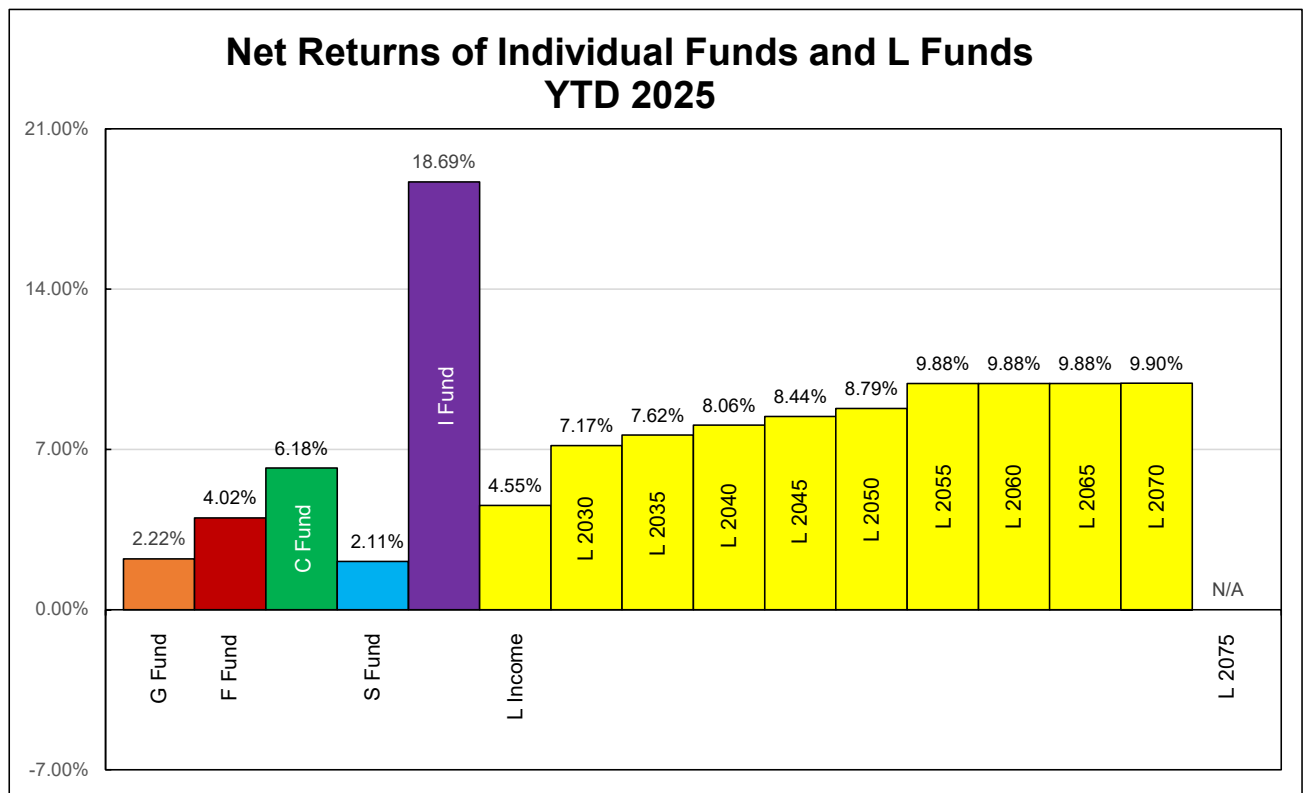
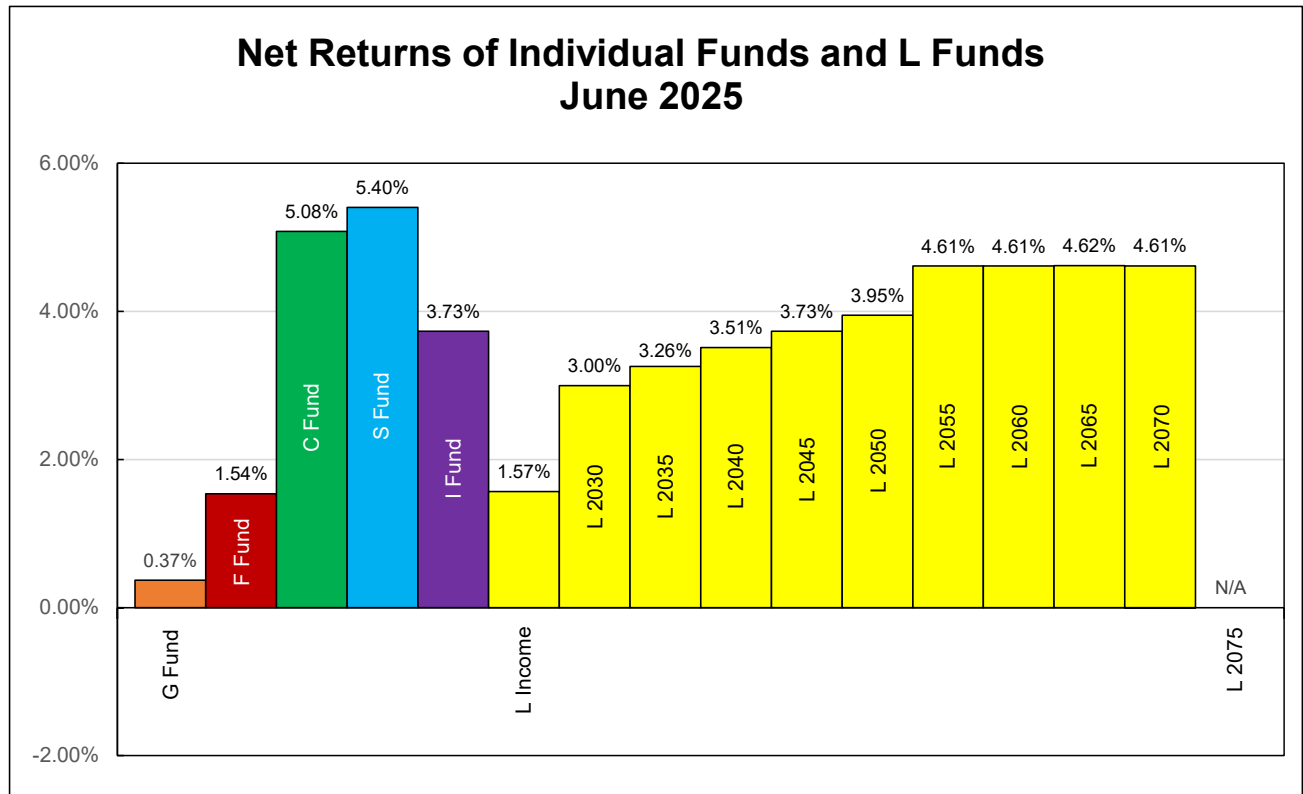
	Inception Date	1-Year	3-Year	5-Year	10-Year
L Income Fund	August 1, 2005	7.80%	7.75%	5.75%	4.68%
L 2030 Fund	August 1, 2005	11.77%	12.51%	9.80%	7.82%
L 2035 Fund	July 1, 2020	12.46%	13.28%	N/A	N/A
L 2040 Fund	August 1, 2005	13.12%	14.05%	11.01%	8.69%
L 2045 Fund	July 1, 2020	13.68%	14.71%	N/A	N/A
L 2050 Fund	January 31, 2011	14.23%	15.37%	12.05%	9.41%
L 2055 Fund	July 1, 2020	15.95%	17.78%	N/A	N/A
L 2060 Fund	July 1, 2020	15.95%	17.78%	N/A	N/A
L 2065 Fund	July 1, 2020	15.95%	17.78%	N/A	N/A
L 2070 Fund	July 26, 2024	N/A	N/A	N/A	N/A
L 2075 Fund	June 30, 2025	N/A	N/A	N/A	N/A

Performance of TSP Funds

The charts below show the G, F, C, S, and I Fund net rates of return vs. their respective benchmark indices.

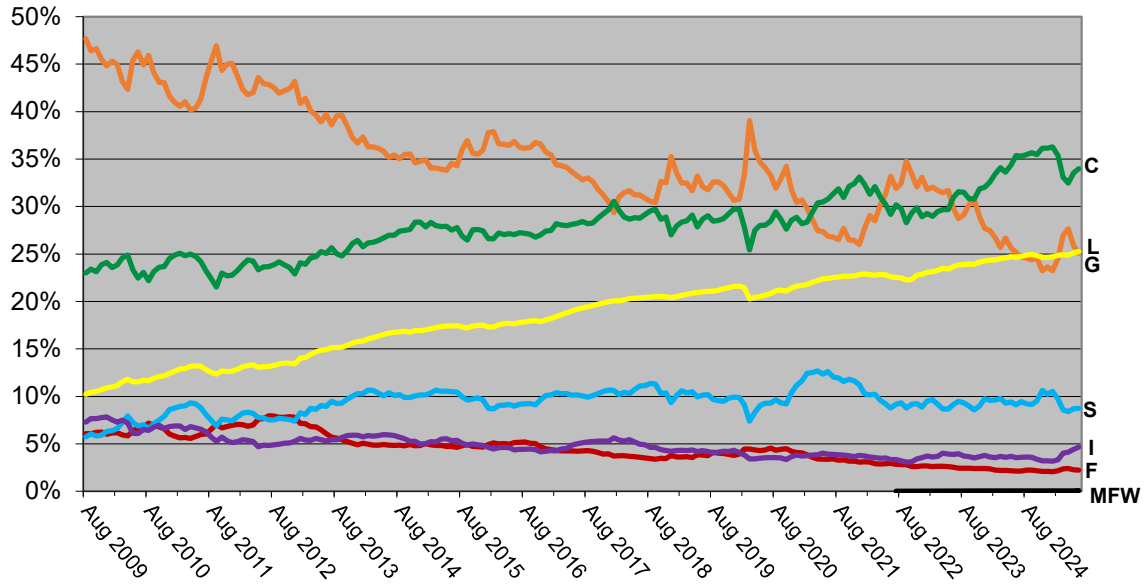


Net rates of return for the L Funds are shown below, along with comparable returns for the G, F, C, S, and I Funds.



Asset Allocation

Participant Asset Allocation History as of June 30, 2025

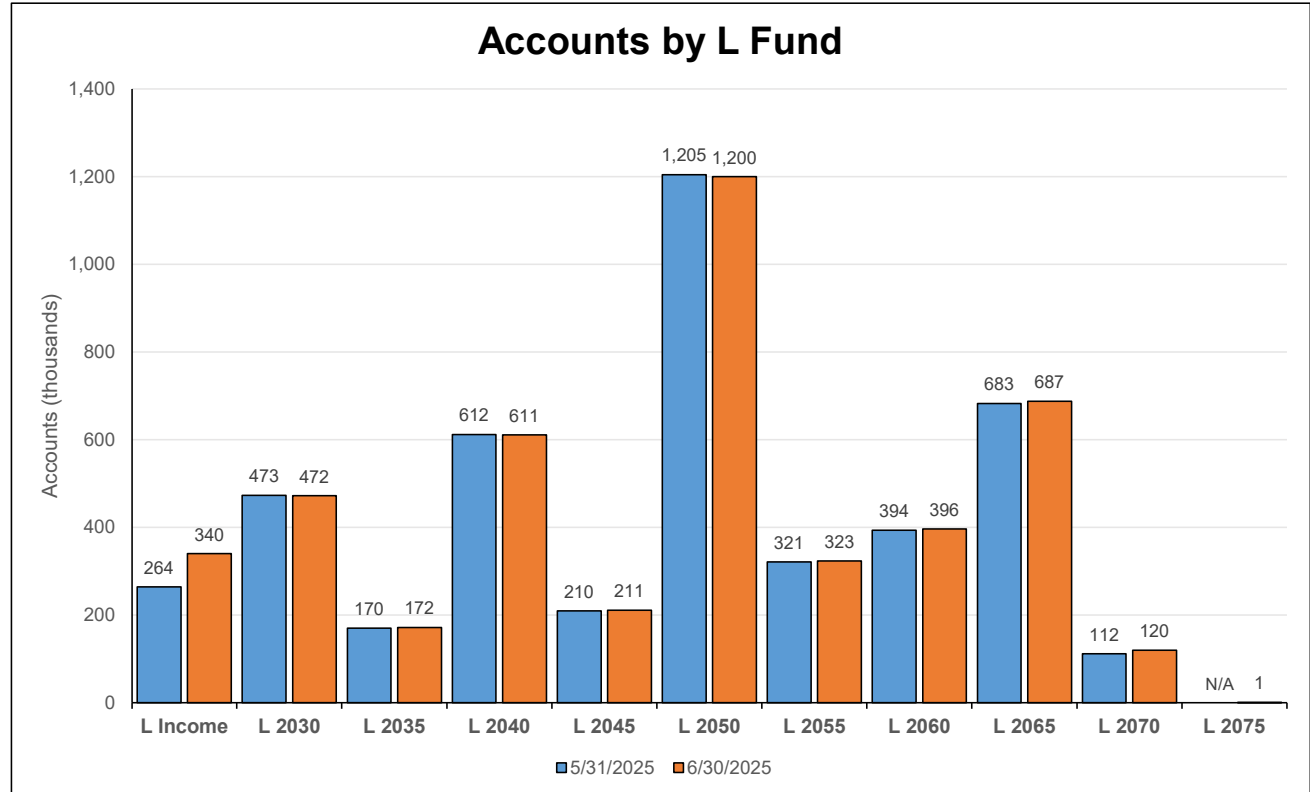
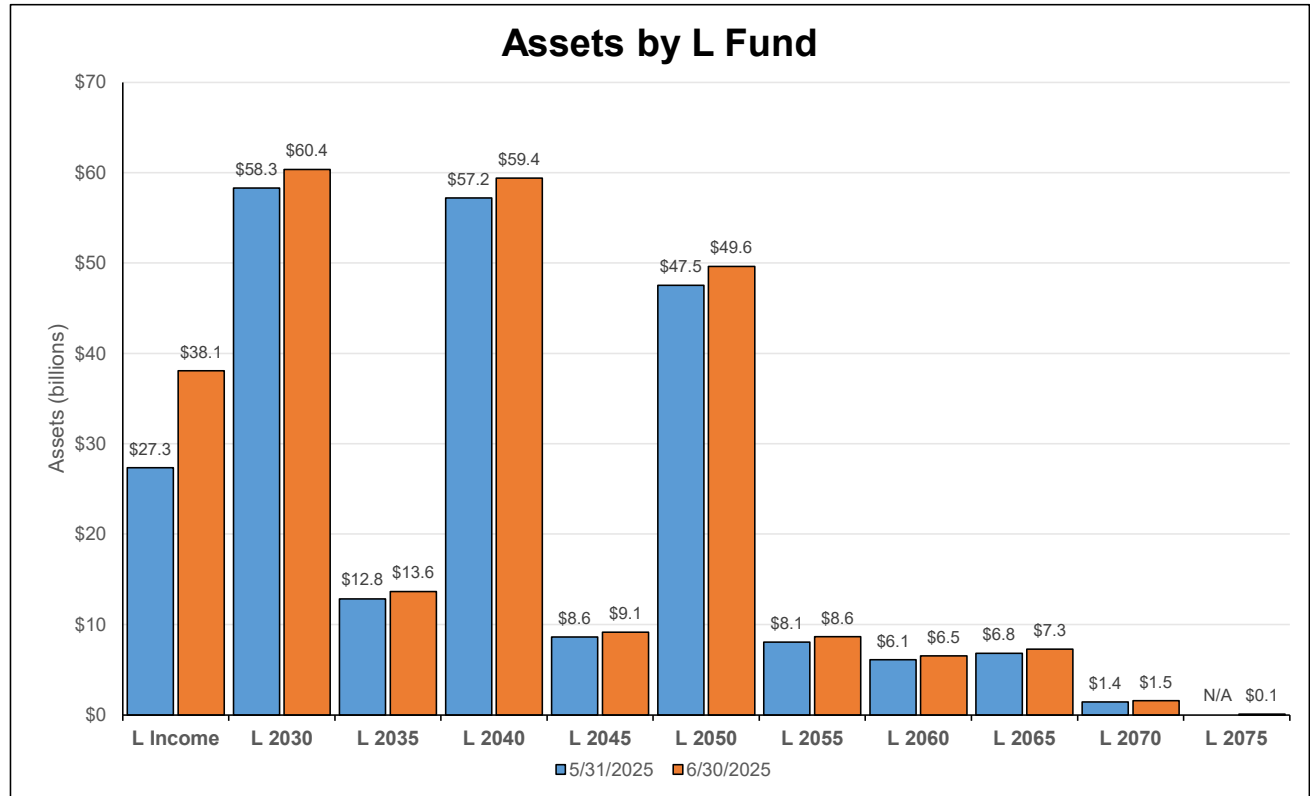


Asset Allocation as of June 30, 2025

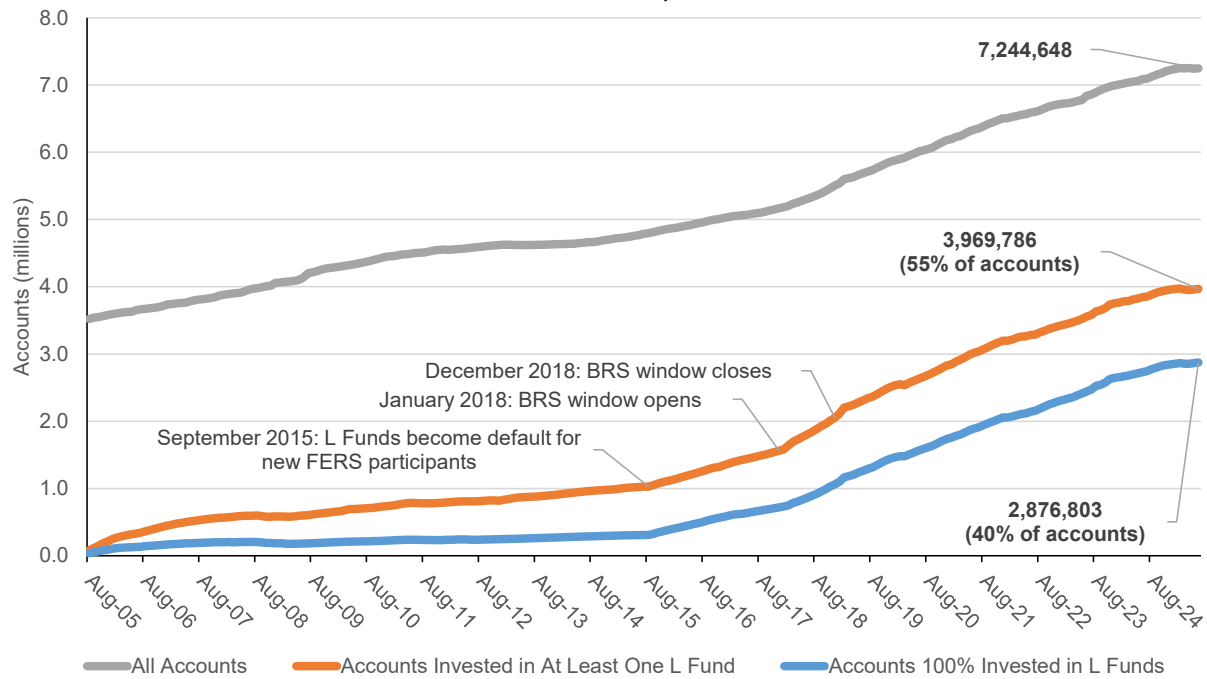
	<u>Participant Allocation</u>		<u>Individual TSP Funds</u>	
	<u>Assets</u> (Billions)	<u>Share of</u> Total	<u>Assets</u> (Billions)	<u>Share of</u> Total
G Fund	\$251.8	25.0%	\$321.7	32.0%
F Fund	\$22.4	2.2%	\$37.0	3.7%
C Fund	\$342.4	34.0%	\$430.8	42.8%
S Fund	\$88.0	8.7%	\$110.1	10.9%
I Fund	\$46.9	4.7%	\$106.2	10.5%
L Funds	\$254.3	25.2%	n/a	n/a
<u>MFW</u>	<u>\$0.6</u>	<u>0.1%</u>	<u>\$0.6</u>	<u>0.1%</u>
Total	\$1,006.5	100.0%	\$1,006.5	100.0%

*Components may not sum to totals due to rounding.

Lifecycle (L) Funds

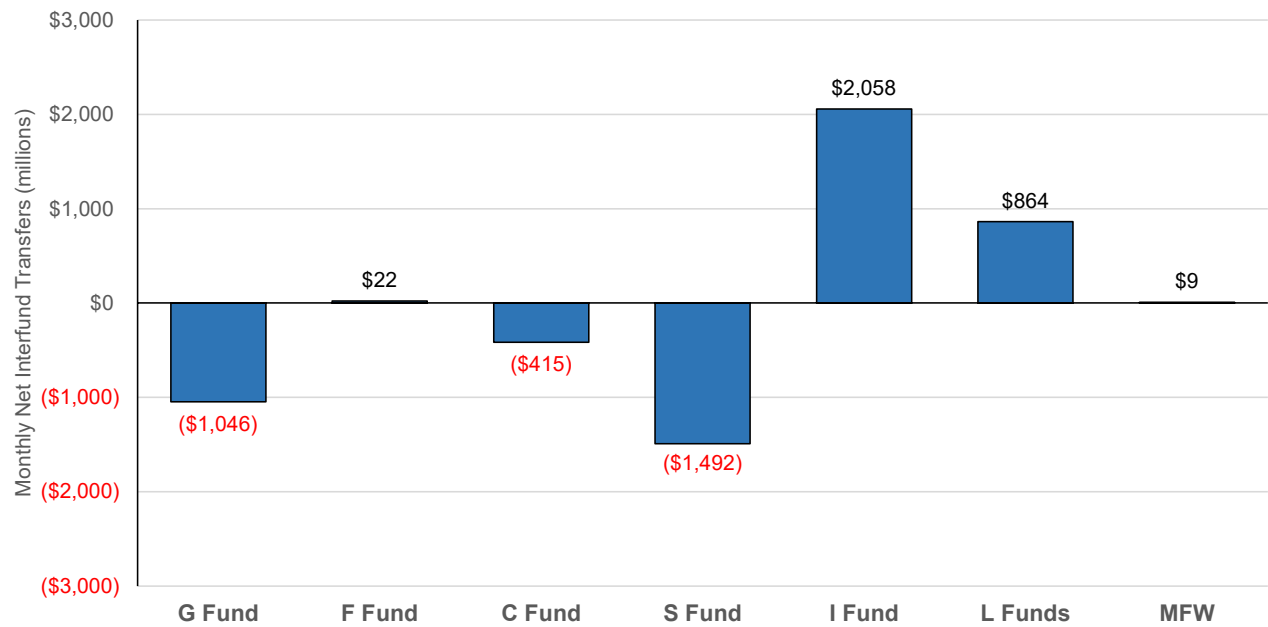


Participation History of the L Funds as of June 30, 2025



Interfund Transfer Activity

Monthly Net Interfund Transfers June 2025



*Values may not sum to zero due to rounding.

PROXY VOTING – FIRST QUARTER 2025

An audit of BlackRock's proxy voting conducted by ISS found no exceptions to BlackRock's established guidelines during the first quarter of 2025. Likewise, an audit of State Street's proxy voting conducted by ISS found no exceptions to State Street's established guidelines during the first quarter of 2025. Copies of the audit reports are provided in this report as Attachments 1 and 2. The ISS audit reports for the second quarter of 2025 are not yet available.

CLASS ACTION SETTLEMENTS – FIRST QUARTER 2025

BlackRock began the first quarter with 109 open claims. During the quarter, 18 claims were opened: 2 claims in the C Fund and 16 claims in the S Fund. Thirty claims were closed during the quarter. Two claims in the C Fund and 13 claims in the S Fund were closed due to administrator action. Four claims in the C Fund and 11 claims in the S Fund were settled for \$595,061 and \$1,889,219, respectively. One previously closed claim in the F Fund settled for \$981. One previously closed claim in the C Fund and eight previously closed claims in the S Fund yielded residual payments of \$18,114 and \$11,930, respectively, bringing total proceeds for the quarter to \$2,515,304. Ninety-seven claims remained open at the end of the quarter.

	<u>Open at Start of Quarter</u>	<u>Opened During Quarter</u>	<u>Closed During Quarter</u>	<u>Open Claims Outstanding</u>	<u>Total of Settled Claims in 2025</u>
F Fund	4	-	-	4	\$981
C Fund	30	2	6	26	\$613,174
S Fund	72	16	24	64	\$1,901,148
I Fund	3	-	-	3	\$0
Total	109	18	30	97	\$2,515,304

State Street began the first quarter with 49 open claims. One claim was opened in the C Fund and 11 claims were opened in the S Fund. Ten claims in the S Fund were closed due to administrator action. One claim in the S Fund was settled for \$417,513. Fifty claims remained open at the end of the quarter.

	<u>Open at Start of Quarter</u>	<u>Opened During Quarter</u>	<u>Closed During Quarter</u>	<u>Open Claims Outstanding</u>	<u>Total of Settled Claims in 2025</u>
F Fund	-	-	-	-	\$0
C Fund	5	1	-	6	\$0
S Fund	44	11	11	44	\$417,513
I Fund	-	-	-	-	\$0
Total	49	12	11	50	\$417,513

ATTACHMENTS

Attachment 1: Audit Report on BlackRock's Proxy Voting in the First Quarter of 2025

Attachment 2: Audit Report on State Street's Proxy Voting in the First Quarter of 2025



April 23, 2025

Mr. John Roe
Managing Director
BlackRock Investment Stewardship
BlackRock
50 Hudson Yards
New York, NY 10001

Dear John,

Enclosed are the results of our review of US proxy votes by BlackRock for the 1st quarter of 2025. Our review found that there were no exceptions to policy over this period.

Best regards,



Recoverable Signature

X Andrew E. Linberg

Signed by: FA43D0FA81CF4ED79386D58F2938A531

Andrew E. Linberg
Head of Custom Research – Americas

INSTITUTIONAL SHAREHOLDER SERVICES INC.

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Rockville, MD 20850

[ISSGOVERNANCE.COM](https://www.issgovernance.com)



MEMORANDUM

The results of our review of BlackRock's 1st quarter proxy voting for US meetings are as follows:

- Votes at 32 meetings were examined.
- Votes at 9 of the 32 meetings were for directors, auditors, and/or management say-on-pay (MSOP) only.
- At the 23 remaining meetings, there were 54 non-director/auditor/MSOP proposals.

The following table illustrates the votes involved by proposal type:

Proposal	Votes
Executive stock plan	17
Advisory vote on golden parachute compensation	5
Frequency vote on MSOP	5
Reverse stock split	3
Issue shares for private placement	2
Approve increase in common stock	1
Approve issuance of common stock upon conversion of convertible notes	2
Approve issuance of shares pursuant to merger agreement	1
Approve merger agreement	4
Approve sale of company assets	1
Approve plan of liquidation	1
Adjourn meeting	11
Amend certificate of incorporation to limit liability of certain officers	1
Total:	54

INSTITUTIONAL SHAREHOLDER SERVICES INC.

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- There were 17 votes cast on executive stock plans:
 - a) 14 votes were cast in favor of the plans (82.4 percent);
 - b) 3 votes were cast against the plans (17.6 percent);
 - i) 1 plan was opposed due to the presence of an evergreen provision;
 - ii) 1 plan was opposed due to the ability to reprice options without prior shareholder approval;
 - iii) 1 plan was opposed due to the presence of an evergreen provision and the ability to reprice options without prior to shareholder approval.
- There were 7 votes cast on mergers, acquisitions, and/or major corporate transactions, including an issuance of shares pursuant to a merger, a sale of company assets, and a plan of liquidation; the votes were cast in favor of the transactions.
- There were 16 votes cast on management advisory votes on executive compensation; the votes were cast in favor of the advisory votes.
- There were 5 votes cast on management advisory vote on golden parachute compensation; the votes were cast in favor of the advisory votes.

There were no exceptions to policy this period.



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June 13, 2025

Mr. Benjamin Colton
Global Co-Head of Asset Stewardship
State Street Global Advisors
State Street Financial Center
One Iron Street
Boston, MA 02210

Dear Benjamin,

The Custom Research team has completed its Q1 2025 audit of SSgA vote recommendations. We examined 25 US and International meetings, containing a total of 304 agenda items. In reviewing these items against the SSgA policy document, we identified zero (0) errors in the application of SSgA's policy (for an overall error rate of 0.0%).

Please feel free to contact us should you have any questions.

Sincerely,

A handwritten signature in black ink that reads "Adam Lee". The signature is written in a cursive, flowing style.

Adam Lee
Associate Director, Custom Research